

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY

1. Contracting Activity: Department of Veterans Affairs (VA)
Office of Procurement, Acquisition, and Logistics
Technology Acquisition Center
23 Christopher Way
Eatontown, NJ 07724

2. Description of Action:

The proposed action is for a firm-fixed price (FFP) order to be issued under National Aeronautics and Space Administration (NASA) Solutions for Enterprise-Wide Procurement (SEWP) V Government-Wide Acquisition Contract (GWAC) for brand name Laurel Bridge enterprise products supporting VA Office of Information & Technology (OIT) Health, Clinical Imaging, Digital Imaging and Communication in Medicine (DICOM) facility operations teams by supporting routing of image data, streamlining workflow processes through automation, enables robust DICOM message handling in VistA, and ensures historical and new imaging studies remain accessible at the point of care throughout VA's nationwide modernization efforts.

Facility Operations:

1. Lighthouse Licenses
2. Compass Store DICOM Router Licenses

3. Description of the Supplies or Services:

The VA, OIT, Health, Clinical Imaging, has a requirement for renewal of existing maintenance license subscriptions for compass routers, Lighthouse licenses, and support services current fielded brand name Laurel Bridge products that supports imaging facility operations and technical development/implementation. The base period will include the Laurel Bridge operational DICOM compass routers and Lighthouse perpetual licenses maintenance supporting enterprise-wide image data activities among VA facilities, community providers, and Department of War (DOW). Required software maintenance and support includes periodic updates, enhancements, and corrections to the software as well as technical/help desk support. The period of performance for this action will include a 12-month base, and the total estimated price of the proposed action is [REDACTED]

4. Statutory Authority:

Pursuant to Federal Acquisition Regulation (FAR) 16.505(a)(4), the following brand name requirement is being justified and approved as an exception to fair opportunity under the statutory authority of Section 41 U.S.C. 4106(c)(2) as implemented by FAR 16.505(b)(2)(i)(B), entitled "Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized".

5. Rationale Supporting Use of Authority Cited Above:

Based on the market research, as described in Section 8 of this justification, it has been determined that limited competition is available among resellers of the required annual maintenance for the existing VA owned Laurel Bridge DICOM DCF local server runtime licenses, compass routers, Run-time licenses, PowerTool Suite, developer toolkits, Lighthouse licenses, and support services. VA utilizes Laurel Bridge DCF software to develop VistA Imaging applications for all VHA facilities. VA anticipates the need to utilize these Laurel Bridge products for for at least the next six (6) years. The required annual maintenance for products supports the Government daily imaging activities required to support critical health care services to Veterans timely and efficiently ensuring the VistA Imaging applications are operational and accessible with minimal interruption for patient care services.

To maintain the existing Laurel Bridge products, a source must have access to its proprietary source code to provide the required support, configuration, and software updates. No other source has the capability of developing/issuing software updates for the Laurel Bridge software due to the proprietary nature of the source code. In addition, any other source would need access to this code to ensure all services provided are properly configured. Therefore, only Laurel Bridge, or its authorized resellers, can provide the required maintenance support services for the currently fielded software and the annual maintenance of the Laurel Bridge DCF products and services required for VistA Imaging.

If Laurel Bridge DCF is not procured, reengineering VistA Imaging to use an alternate toolkit is currently estimated to cost approximately \$7M for the first year and take a minimum of 12 months to complete, in addition to the cost of the alternate toolkit estimated at \$660,000 per year. This estimate is based on previous acquisition history, and it is not expected these duplicative costs would be recovered through competition.

Failure to procure the required annual maintenance of the existing Government owned Laurel Bridge products and services would result in VA's inability to evoke existing VistA Imaging applications to acquire, store and provide DICOM medical images among 150+ VA Medical Centers, the Department of War (DOW) medical care system and community providers resulting in negative outcomes from delays of health care services to Veterans.

6. Efforts to Obtain Competition:

Market research was conducted, details of which are in section 8 of this justification. This effort did not yield any additional sources that can meet the Government's requirements. However, the undersigned VA technical representative determined that limited competition is available among authorized resellers for brand name Laurel Bridge, as well as software maintenance and support. In accordance with FAR 16.505(a)(4)(iii)(A)(1), this justification will be provided with the solicitation to all appropriate NASA SEWP V GWAC holders. Furthermore, in accordance with FAR 5.301, 16.505(b)(2)(ii)(D), and 16.505(a)(4)(iii), the award notice for this action will

be synopsisized on the Contract Opportunities website and this justification will be made publicly available within 14 days of award.

7. Actions to Increase Competition:

The Government will continue to conduct market research to ascertain if there are changes in the market place that would enable future actions to be competed.

8. Market Research:

The Government's technical experts conducted market research from February to March 2026 by reviewing maintenance support services available from resellers of Laurel Bridge software. Specifically, the Government's technical experts reviewed products/services available from resellers (Minburn, V3 Gate) and Laurel Bridge to determine which sources can provide software maintenance licenses and support on the existing Laurel Bridge software. Based on this review, it was determined that no other source could provide required licenses and maintenance support for Laurel Bridge software other than Laurel Bridge or one of its resellers because they lacked access to the proprietary source code necessary to provide the required support, configuration, and software updates. Only Laurel Bridge or its resellers can access the proprietary source code to maintain the current fielded Laurel Bridge licenses. As described in Section 5 above, use of any other brand of software is not tenable due to the embedded code in the current infrastructure that is currently used at VA sites.

The Government's technical experts also reviewed public data to determine if applications developed by other vendors utilizing the Laurel Bridge products could be evoked either without using Laurel Bridge products or using an alternate manufacturer's (Medical Connections, Ltd, MicroDicom, LeadTools, Merge Healthcare by IBM, Intelrad, DICOM Systems, AGFA, Sectra and Fujifilm Medical Systems, etc.) products, to which the results were inconclusive. As described above in section 5, the VistA Imaging software components that leverage the Laurel Bridge DICOM toolkit would need significant redesign to use another toolkit. VistA Imaging neither has the funding, nor the development flexibility to support this redesign at this time.

Given the VA legacy version of the Laurel Bridge software is proprietary or closed sourced, meaning the code is not made available to the general public for use, market research confirms that only Laurel Bridge (or its authorized resellers) can provide the annual maintenance requirements for the usage of the fielded Laurel Bridge products. VA currently has government-owned copies of Laurel Bridge products, but these copies still rely on Laurel Bridge's proprietary DCF SDK, which is embedded inside VistA Imaging. Even though the VA owns the deployed software version, the intellectual property inside it still belongs to Laurel Bridge.

Lastly, the Government confirmed via NASA SEWP market research request #370367 in March 2026 that at least two SDVOSBs on the NASA SEWP V GWAC

are resellers of Laurel Bridge software maintenance and licenses, therefore, the action can be set-aside for all SDVOSBs on the NASA SEWP V GWAC.

9. Other Facts:

None

10. Technical/Requirements Certification

I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.

[Redacted Signature] [Redacted Title]

11. Fair and Reasonable Cost Determination

I hereby determine that the anticipated price to the Government for this contract action will be fair and reasonable based on anticipated competition. Additionally, NASA SEWP has already determined that the prices on contract are fair and reasonable. Finally, the successful quote will be compared to the Independent Government Cost Estimate.

[Redacted Signature] [Redacted Title]

12. Contracting Officer Certification/Approval

I certify that this justification is accurate and complete to the best of my knowledge and belief.

[Redacted Signature] [Redacted Title] _____
[Redacted Signature]